

Principles of Economics — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level III

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

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1. What is economics? Scarcity and choice

Economics is the study of how individuals, businesses and governments allocate scarce resources among competing, unlimited wants. Because resources (land, labour, capital, entrepreneurship) are limited while human wants are effectively unlimited, every economic decision involves an **opportunity cost** — the value of the next best alternative given up when a choice is made.

Microeconomics studies the behaviour of individual consumers, firms and markets; **macroeconomics** studies the economy as a whole (national income, inflation, unemployment, overall growth).

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

ATD LEVEL III — PRINCIPLES OF ECONOMICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define "economics" and explain the concept of opportunity cost with one example. (8 marks)
- (b) Distinguish between microeconomics and macroeconomics. (6 marks)
- (c) State the law of demand and the law of supply. (6 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes demand and supply, market equilibrium, price elasticity, market structures, national income basics, inflation and unemployment, a fully worked equilibrium/elasticity question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.